

How You Make Money from a Money Market Fund

As with any mutual fund, when you invest in a money fund, you're actually purchasing shares of that fund. Money fund managers try to keep the price (known as the **net asset value** or **NAV**) of each share equal to a dollar at all times by investing in short-term debt securities they believe to be very safe. So when you invest \$250 in a money fund, what you're actually doing is buying 250 shares of the fund. The fund manager then puts your \$250 together with the money from other investors and loans it to various governments and/or corporations, receiving IOUs (money market instruments) in return.

In addition to repaying their debts, these governments and corporations must pay the money fund interest on the money they're borrowing. Now here's the good part. The fund then passes these interest payments on to you in the form of **dividends**, typically credited to your account every business day. If you like, most money market funds will deposit these dividends into your bank account or mail them to you (usually once a month). Many investors, however, choose to have their dividends automatically **reinvested** in the money fund. In this case, their dividends are used to buy them more shares in the fund. This is a smart thing to do; in addition to saving you the hassle of bookkeeping, it's a painless way to increase the size of your account and keep yourself from spending your dividends.

The **yield** of a money fund is expressed as a percentage and is analogous to the interest rate paid on a savings account. It's calculated by dividing the fund's **dividends per share** by its share price (with most funds, the share price is a dollar, making this really easy math). The yield of each money fund fluctuates day to day. Since money funds all calculate their yields in the same way, you can (and should) compare the yields of several money funds before selecting one. You can comparison shop online at www.bankrate.com, www.imoney.net, and www.cranedata.us.

Money funds send monthly or quarterly statements indicating the number and value of the shares you own. The two figures are usually the same because the price per share is almost always a dollar.

Different Types of Money Market Funds

There are a variety of types of money funds to choose from. Your tax bracket and the state you live in will have some influence on which fund